

An Act

ENROLLED HOUSE
BILL NO. 3796

By: Sneed of the House

and

Coleman and Murdock of the
Senate

An Act relating to insurance; amending Section 8, Chapter 345, O.S.L. 2024 (36 O.S. Supp. 2025, Section 323), which relates to the enforcement power and authority of the Insurance Commissioner; establishing that bulletins published by previous Insurance Commissioners shall expire following inauguration of next Insurance Commissioner; allowing Commissioner to continue bulletin; clarifying Commissioner has the authority to issue, amend, or terminate a bulletin at any time; amending Section 2, Chapter 293, O.S.L. 2024 (36 O.S. Supp. 2025, Section 972), which relates to the Strengthen Oklahoma Homes Program; expanding length of program indefinitely; amending 36 O.S. 2021, Section 1633, which relates to the acquisition of control of or merger with domestic insurers; requiring individuals filing statement with the Commissioner to include personal financial statements reviewed by an independent public accountant; amending 36 O.S. 2021, Section 4423, which relates to the application of the Long-Term Care Insurance Act; prohibiting persons from selling, soliciting, or negotiating long-term care insurance without proper license; repealing 36 O.S. 2021, Section 1416, which relates to the state innovation waiver; repealing 36 O.S. 2021, Section 1416; and providing an effective date.

SUBJECT: Insurance

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY Section 8, Chapter 345, O.S.L. 2024 (36 O.S. Supp. 2025, Section 323), is amended to read as follows:

Section 323. A. In addition to any powers herein before expressly enumerated in this law, the Insurance Commissioner shall have full power and authority to enforce by regulations, orders, bulletins or otherwise all and singular, the provisions of this law, and the full intent thereof. In particular the Commissioner shall have the authority and power:

1. To examine all records of persons or organizations falling under the jurisdiction of the Commissioner and to require the same to furnish under oath such information as the Commissioner may deem necessary for the administration of this law. The expense of such examination shall be paid by the insurer or advisory organization examined. In lieu of such examination, the Commissioner may, in the discretion of the Commissioner, accept a report of examination made by any other insurance supervisory authority;

2. To make and enforce such reasonable bulletins, orders, rules and regulations as may be necessary in making this law effective, but such bulletins, orders, rules and regulations shall not be contrary to or inconsistent with the provisions of this law; and

3. To issue an order in accordance with Article II of the Administrative Procedures Act to all parties in interest requiring any person or organization falling under the jurisdiction of the Commissioner to cease and desist from any unfair or unreasonable practice.

B. Bulletins published by previous Insurance Commissioners shall terminate ninety (90) calendar days following the inauguration of the next Insurance Commissioner unless continued by an order issued by the new Insurance Commissioner. Nothing in this subsection shall restrict the authority of the Insurance Commissioner to issue, amend, or terminate a bulletin at any time.

SECTION 2. AMENDATORY Section 2, Chapter 293, O.S.L. 2024 (36 O.S. Supp. 2025, Section 972), is amended to read as follows:

Section 972. A. There is hereby established within the Department of Insurance the Strengthen Oklahoma Homes (SOH) Program, ~~to continue until November 1, 2027.~~

B. This act does not create an entitlement for property owners or obligate the state in any way to fund the inspection, construction, or retrofitting of residential property in this state. Implementation of the SOH Program is subject to the receipt of federal grants or funds or from other sources of grants or funds. The Department shall use its best efforts to obtain grants or funds from the federal government or other funding sources to supplement the financial resources of the SOH Program that may be provided by the state.

C. The SOH Program shall apply for financial grants to construct or retrofit insurable property as defined in Section 963 of ~~Title 36 of the Oklahoma Statutes~~ this title to resist loss due to a tornado or other catastrophic windstorm events or hail as prescribed in subsection B of Section 962 of ~~Title 36 of the Oklahoma Statutes~~ this title.

D. The SOH Program may also make grants or funding available to nonprofit entities for projects to construct or retrofit insurable properties to resist loss due to tornado or other catastrophic windstorm events or hail if such grants or funding to nonprofit entities are allowable under grant or funding rules, requirements, guidelines, or criteria. However, a nonprofit entity shall agree to administer the grants or funds as the SOH Program would be required to administer grants or funds, and the entity shall provide documentation to the Department in a timely manner as requested by the Department.

E. All mitigation shall be based upon the securing of all required local permits and applicable inspections in keeping with local building codes and the Insurance Institute for Business and Home Safety (IBHS) Fortified Homes Program. Mitigation projects are subject to random reinspection of all projects.

F. The Insurance Commissioner may promulgate rules and eligibility requirements necessary for the proper administration of this act and pursuant to any instructions or requirements on grants or funds received by the Department for the SOH Program.

SECTION 3. AMENDATORY 36 O.S. 2021, Section 1633, is amended to read as follows:

Section 1633. A. The requirements for filing shall be as follows:

1. No person other than the issuer shall make a tender offer for or a request or invitation for tenders of, or enter into any agreement to exchange securities for, seek to acquire, or acquire, in the open market or otherwise, any voting security of a domestic insurer if, after the consummation thereof, such person would, directly or indirectly, or by conversion or by exercise of any right to acquire, be in control of the insurer, and no person shall enter into an agreement to merge with or otherwise to acquire control of a domestic insurer or any person controlling a domestic insurer unless, at the time the offer, request or invitation is made or the agreement is entered into, or prior to the acquisition of the securities if no offer or agreement is involved, such person has filed with the Commissioner and has sent to the insurer, and such insurer has sent to its shareholders, a statement containing the information required by this section and the offer, request, invitation, agreement or acquisition has been approved by the Commissioner in the manner prescribed in this act;

2. For purposes of this section, any controlling person of a domestic insurer seeking to divest its controlling interest in the domestic insurer, in any manner, shall file with the Commissioner, with a copy to the insurer, confidential notice of its proposed divestiture at least thirty (30) days prior to the cessation of control. The Commissioner shall determine those instances in which the party or parties seeking to divest or to acquire a controlling interest in an insurer shall be required to file for and obtain approval of the transaction. The information shall remain confidential until the conclusion of the transaction unless the Commissioner, in his or her discretion, determines that confidential treatment will interfere with enforcement of this section. If the statement referred to in paragraph 1 of this subsection is otherwise filed, this paragraph shall not apply;

3. With respect to a transaction subject to this section, the acquiring person must also file a preacquisition notification with the Commissioner, which shall contain the information set forth in paragraph 1 of subsection C of Section 4 1634 of this ~~act~~ title. A failure to file the notification may be subject to the penalty specified in paragraph 3 of subsection E of Section 4 1634 of this ~~act~~ title; and

4. For purposes of this section, a "domestic insurer" shall include any person controlling a domestic insurer unless the person, as determined by the Commissioner, is either directly or through its affiliates primarily engaged in business other than the business of insurance. For the purposes of this section, "person" shall not include any securities broker holding, in the usual and customary broker's function, less than twenty percent (20%) of the voting securities of an insurance company or of any person which controls an insurance company.

B. The statement to be filed with the Commissioner shall be made under oath or affirmation and shall contain the following:

1. The name and address of each person by whom or on whose behalf the merger or other acquisition of control referred to in subsection A of this section, hereinafter called the "acquiring party", is to be affected:

- a. if the person is an individual, his or her principal occupation and all offices and positions held during the past five (5) years, and any conviction of crimes other than minor traffic violations during the past ten (10) years, and
- b. if the person is not an individual, a report of the nature of its business operations during the past five (5) years or for the lesser period as the person and any predecessors shall have been in existence; an informative description of the business intended to be done by the person and the person's subsidiaries; and a list of all individuals who are or who have been selected to become directors or executive officers of the person, or who perform or will perform functions appropriate to such positions. The list shall include for each individual the information required by subparagraph a of this paragraph;

2. The source, nature and amount of the consideration used or to be used in effecting the merger or other acquisition of control, a description of any transaction where funds were or are to be obtained for any such purpose, including any pledge of the insurer's stock or the stock of any of its subsidiaries or controlling affiliates, and the identity of persons furnishing consideration; provided, however, that where a source of consideration is a loan made in the lender's ordinary course of business, the identity of

the lender shall remain confidential, if the person filing the statement so requests;

3. Fully

- a. If the person is an individual, personal financial statements reviewed by an independent public accountant, as to the earnings and financial condition of each acquiring party for the preceding five (5) fiscal years of each acquiring party, and similar unaudited information as of a date not earlier than ninety (90) days prior to the filing of the statement, or
- b. If the person is not an individual, fully audited financial information as to the earnings and financial condition of each acquiring party for the preceding five (5) fiscal years of each acquiring party, or for such lesser period as the acquiring party and any predecessors shall have been in existence, and similar unaudited information as of a date not earlier than ninety (90) days prior to the filing of the statement;

4. Any plans or proposals which each acquiring party may have to liquidate the insurer, to sell its assets or merge or consolidate it with any person, or to make any other material change in its business or corporate structure or management;

5. The number of shares of any security referred to in subsection A of this section which each acquiring party proposes to acquire, and the terms of the offer, request, invitation, agreement or acquisition referred to in subsection A of this section, and a statement as to the method by which the fairness of the proposal was arrived at;

6. The amount of each class of any security referred to in subsection A of this section which is beneficially owned or concerning which there is a right to acquire beneficial ownership by each acquiring party;

7. A full description of any contracts, arrangements or understandings with respect to any security referred to in subsection A of this section in which any acquiring party is involved, including but not limited to transfer of any of the securities, joint ventures, loan or option arrangements, puts or

calls, guarantees of loans, guarantees against loss or guarantees of profits, division of losses or profits, or the giving or withholding of proxies. The description shall identify the persons with whom the contracts, arrangements or understandings have been entered into;

8. A description of the purchase of any security referred to in subsection A of this section during the twelve (12) calendar months preceding the filing of the statement by any acquiring party, including the dates of purchase, names of the purchasers and consideration paid or agreed to be paid;

9. A description of any recommendations to purchase any security referred to in subsection A of this section made during the twelve (12) calendar months preceding the filing of the statement by any acquiring party, or by anyone based upon interviews or at the suggestion of the acquiring party;

10. Copies of all tender offers for, requests, or invitations for tenders of, exchange offers for, and agreements to acquire or exchange any securities referred to in subsection A of this section, and, if distributed, additional related soliciting material;

11. The term of any agreement, contract or understanding made with or proposed to be made with any broker-dealer as to solicitation of securities referred to in subsection A of this section for tender, and the amount of any fees, commissions or other compensation to be paid to broker-dealers with regard thereto;

12. An agreement by the person required to file the statement referred to in subsection A of this section that it will provide the annual report, specified in subsection L of Section ~~5~~ 1635 of this ~~act~~ title, for so long as control exists;

13. An acknowledgement by the person required to file the statement referred to in subsection A of this section that the person and all subsidiaries within its control in the insurance holding company system will provide information to the Commissioner upon request as necessary to evaluate enterprise risk to the insurer; and

14. Such additional information as the Commissioner may by rule or regulation prescribe as necessary or appropriate for the protection of policyholders of the insurer or in the public interest. If the person required to file the statement referred to

in subsection A of this section is a partnership, limited partnership, syndicate or other group, the Commissioner may require that the information required pursuant to paragraphs 1 through 14 of this subsection shall be given with respect to each partner of the partnership or limited partnership, each member of the syndicate or group, and each person who controls the partner or member. If any partner, member or person is a corporation or the person required to file the statement referred to in subsection A of this section is a corporation, the Commissioner may require that the information required pursuant to paragraphs 1 through 14 of this subsection shall be given with respect to the corporation, each officer and director of the corporation, and each person who is directly or indirectly the beneficial owner of more than ten percent (10%) of the outstanding voting securities of the corporation. If any material change occurs in the facts set forth in the statement filed with the Commissioner and sent to the insurer pursuant to this section, an amendment setting forth the change, together with copies of all documents and other material relevant to the change, shall be filed with the Commissioner and sent to the insurer within two (2) business days after the person learns of the change.

C. If any offer, request, invitation, agreement or acquisition referred to in subsection A of this section is proposed to be made by means of a registration statement under the Securities Act of 1933, or in circumstances requiring the disclosure of similar information under the Securities Exchange Act of 1934 or under a state law requiring similar registration or disclosure, the person required to file the statement referred to in subsection A of this section may utilize the documents in furnishing the information called for by that statement.

D. 1. The Commissioner shall approve any merger or other acquisition of control referred to in subsection A of this section unless, after a public hearing, the Commissioner finds that:

- a. after the change of control, the domestic insurer referred to in subsection A of this section would not be able to satisfy the requirements for the issuance of a license to write the line or lines of insurance for which it is presently licensed,
- b. the effect of the merger or other acquisition of control would be substantially to lessen competition in insurance in this state or tend to create a

monopoly. In applying the competitive standard in this subparagraph:

- (1) the informational requirements of paragraph 1 of subsection C of Section 4 1634 of this ~~act~~ title and the standards of paragraph 2 of subsection D of Section 4 1634 of this ~~act~~ title shall apply,
 - (2) the merger or other acquisition shall not be disapproved if the Commissioner finds that any of the situations meeting the criteria provided by paragraph 3 of subsection D of Section 4 1634 of this ~~act~~ title exist, and
 - (3) the Commissioner may condition the approval of the merger or other acquisition on the removal of the basis of disapproval within a specified period of time,
- c. the financial condition of any acquiring party is such as might jeopardize the financial stability of the insurer, or prejudice the interest of its policyholders,
 - d. the plans or proposals which the acquiring party has to liquidate the insurer, sell its assets or consolidate or merge it with any person, or to make any other material change in its business or corporate structure or management, are unfair and unreasonable to policyholders of the insurer and not in the public interest,
 - e. the competence, experience and integrity of those persons who would control the operation of the insurer are such that it would not be in the interest of policyholders of the insurer and of the public to permit the merger or other acquisition of control, or
 - f. the acquisition is likely to be hazardous or prejudicial to the insurance-buying public.

2. The public hearing referred to in paragraph 1 of this subsection shall be held within thirty (30) days after the statement required by subsection A of this section is filed, and at least twenty (20) days' notice shall be given by the Commissioner to the

person filing the statement. Not less than fourteen (14) days' notice of the public hearing shall be given by the person filing the statement to the insurer and to such other persons as may be designated by the Commissioner. The insurer shall give notice to its securityholders. The Commissioner shall make a determination within the sixty-day period preceding the effective date of the proposed transaction. At the hearing, the person filing the statement, the insurer, any person to whom notice of hearing was sent, and any other person whose interest may be affected shall have the right to present evidence, examine and cross-examine witnesses, and offer oral and written arguments and in connection therewith shall be entitled to conduct discovery proceedings in the same manner as is presently allowed by subsection A of Section 317 of ~~Title 36 of the Oklahoma Statutes~~ this title. All discovery proceedings shall be concluded not later than three (3) days prior to the commencement of the public hearing.

3. If the proposed acquisition of control will require the approval of more than one state's Commissioner, the public hearing referred to in paragraph 2 of this subsection may be held on a consolidated basis upon request of the person filing the statement referred to in subsection A of this section. Such person shall file the statement referred to in subsection A of this section with the National Association of Insurance Commissioners (NAIC) within five (5) days of making the request for a public hearing. The Commissioner may opt out of a consolidated hearing, and shall provide notice to the applicant of the opt-out within ten (10) days of the receipt of the statement referred to in subsection A of this section. A hearing conducted on a consolidated basis shall be public and shall be held within the United States before the Commissioners of the states in which the insurers are domiciled. Such Commissioners shall hear and receive evidence. A Commissioner may attend such hearing, in person or by telecommunication.

4. In connection with a change of control of a domestic insurer, any determination by the Commissioner that the person acquiring control of the insurer shall be required to maintain or restore the capital of the insurer to the level required by the laws and regulations of this state shall be made not later than sixty (60) days after the date of notification of the change in control submitted pursuant to paragraph 1 of subsection A of Section 3 of this act.

5. The Commissioner may retain at the acquiring person's expense any attorneys, actuaries, accountants and other experts not

otherwise a part of the Commissioner's staff as may be reasonably necessary to assist the Commissioner in reviewing the proposed acquisition of control.

E. The provisions of this section shall not apply to any offer, request, invitation, agreement or acquisition which the Commissioner by order shall exempt as not having been made or entered into for the purpose and not having the effect of changing or influencing the control of a domestic insurer, or as otherwise not comprehended within the purposes of this section.

F. The following shall be violations of this section:

1. The failure to file any statement, amendment or other material required to be filed pursuant to subsection A or B of this section; or

2. The effectuation or any attempt to effectuate an acquisition of control of, divestiture of, or merger with, a domestic insurer unless the Commissioner has given approval.

G. The courts of this state are hereby vested with jurisdiction over every person not resident, domiciled or authorized to do business in this state who files a statement with the Commissioner under this section, and overall actions involving such person arising out of violations of this section, and each such person shall be deemed to have performed acts equivalent to and constituting an appointment by the person of the Commissioner to be his or her true and lawful attorney upon whom may be served all lawful process in any action, suit or proceeding arising out of violations of this section. Copies of all lawful process shall be served on the Commissioner and transmitted by registered or certified mail by the Commissioner to the person at his or her last-known address.

SECTION 4. AMENDATORY 36 O.S. 2021, Section 4423, is amended to read as follows:

Section 4423. A. The requirements of the Long-Term Care Insurance Act shall apply to policies, other than life care community policies delivered or issued for delivery in this state on or after November 1, 1987. The requirements of the Long-Term Care Insurance Act shall apply to life care community policies delivered or issued for delivery in this state on or after November 1, 1989.

B. Notwithstanding any other provision, the Long-Term Care Insurance Act shall not apply to the following:

1. Residential care homes licensed pursuant to the Oklahoma Residential Care Act;

2. Assisted living centers and continuum of care facilities licensed pursuant to the Oklahoma Continuum of Care and Assisted Living Act; or

3. Facilities licensed pursuant to the Oklahoma Nursing Home Care Act.

C. The Long-Term Care Insurance Act is not intended to supersede the obligations of entities subject to said act to comply with the substance of other applicable insurance laws insofar as they do not conflict with the Long-Term Care Insurance Act, except that laws and regulations designed and intended to apply to Medicare supplement insurance policies shall not apply to long-term care insurance. A policy which is not advertised, marketed or offered as long-term care insurance need not meet the requirements of the Long-Term Care Insurance Act. The Long-Term Care Insurance Act is not intended to require life care communities to be licensed insurers. Life care communities which are not licensed insurers shall not be subject to the provisions of the Insurance Code or the jurisdiction of the Insurance Commissioner, except as provided in the Long-Term Care Insurance Act.

D. A person may not sell, solicit, or negotiate long-term care insurance unless the person is licensed as an insurance producer for accident and health or sickness or life. For purposes of this subsection, "terms" shall have the same definitions as set forth in Section 1435.2 of this title.

SECTION 5. REPEALER 36 O.S. 2021, Section 1416, is hereby repealed.

SECTION 6. This act shall become effective November 1, 2026.

Passed the House of Representatives the 25th day of March, 2026.

Presiding Officer of the House
of Representatives

Passed the Senate the 4th day of May, 2026.

Presiding Officer of the Senate

OFFICE OF THE GOVERNOR

Received by the Office of the Governor this _____
day of _____, 20_____, at _____ o'clock _____ M.
By: _____

Approved by the Governor of the State of Oklahoma this _____
day of _____, 20_____, at _____ o'clock _____ M.

Governor of the State of Oklahoma

OFFICE OF THE SECRETARY OF STATE

Received by the Office of the Secretary of State this _____
day of _____, 20_____, at _____ o'clock _____ M.
By: _____